

However, the financial community has at times in the recent past derived other conclusions from the same set of facts. The world situation is such that the need of heavy expenditures for airborne defense equipment will be with us for years. While the total value may vary from year to year, the pace of engineering change is causing more and more expensive equipment to be needed, so that the long-range trend will be upward. This means that the happy investor in these securities will be in one of the few industries which will in no sense feel the next business depression, which sooner or later will be felt by most other industries. While the profit margin is limited by law, so much business is available to the well-run company that this proves no ceiling upon total net profits. When this view prevails, a quite different appraisal is being given to exactly the same background facts. These stocks then sell on a quite different basis.

Examples could be given for industry after industry which in the past twenty years has been looked upon first one way, then another, by the financial community, with a resultant change in quoted values. In 1950, pharmaceutical stocks were generally regarded as having about the same set of desirable characteristics usually credited to industrial chemical companies. Endless growth due to the wonders of research and a steady rise in the standard of living seemed to warrant the best of these shares selling at the same ratio to earnings as the best of the chemicals. Then a single manufacturer got into trouble on a heretofore glamorous item. The realization swept the financial community that this was a field in which dominance today is no assurance of being even one of the top companies tomorrow. A reappraisal of the entire industry took place. Completely different price-earnings ratios prevailed, due, in all cases but one, not to a different set of facts but a different appraisal of the same facts.

In 1958, just the reverse took place. In the business slump of that year, one of the few industries that enjoyed increased rather than decreased demand for its products was the drug manufacturing industry. Profits of most companies in this group rose to new highs. At the same time earnings of the chemical producers fell rather sharply—largely because of excess capacity from major expansion moves that had just been completed. The volatile financial community again started sharply upgrading the price-earnings ratio of drug shares. Meanwhile sentiment started to grow that the chemical stocks were not as attractive as had previously been supposed. All this